Customer Experience Assessment For MoneyLion

Identifying Key Drivers of CX Issues and Recommended Improvements

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URGENCY

Before MoneyLion can embark in business growth, it must address its Customer Experience challenges:

1. Despite customer acquisition increasing by 100%, customer churn rate increased for the 3rd straight quarter, now over 7%

2. Customer satisfaction scores dropped from “World Class” to “Excellent”

3. Negative app store reviews and social media complaints spiked by 20%

4. Increase in BBB complaints regarding banking services following improved fraud controls

Three-Pronged Approach

To mitigate further customer attrition, MoneyLion must prioritize customer retention, satisfaction, and engagement.

Analysis #1

Customer Reviews

Data analysis of 1,417 customer reviews of MoneyLion from three different platforms

Analysis #2

CX Benchmark

Industry CX standard for banking and fintech can provide insight

Analysis #3

Financial Implications

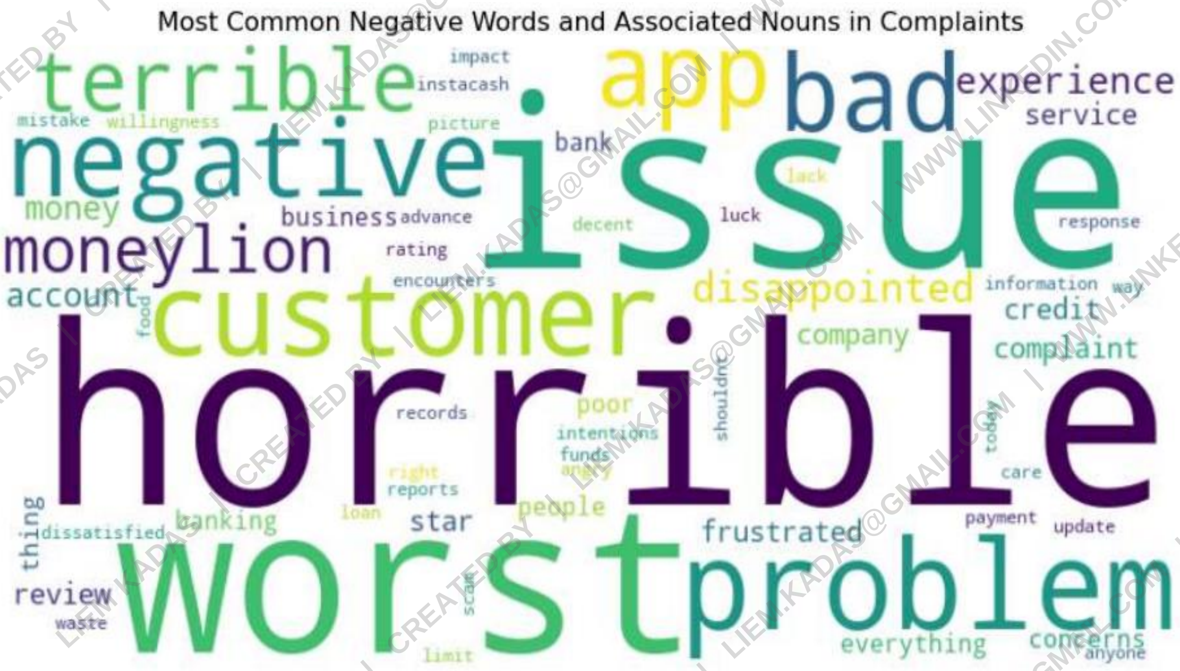
ROI analysis of retention efforts

01

Customer Reviews

Recommendation Based on Reviews

Extracting the <u>most pervasive negative words</u> from 1,417 customer reviews will give us an initial glimpse on CX insights.



*Python script + data in the appendices (pg. 31)

This Word Cloud was generated using Python

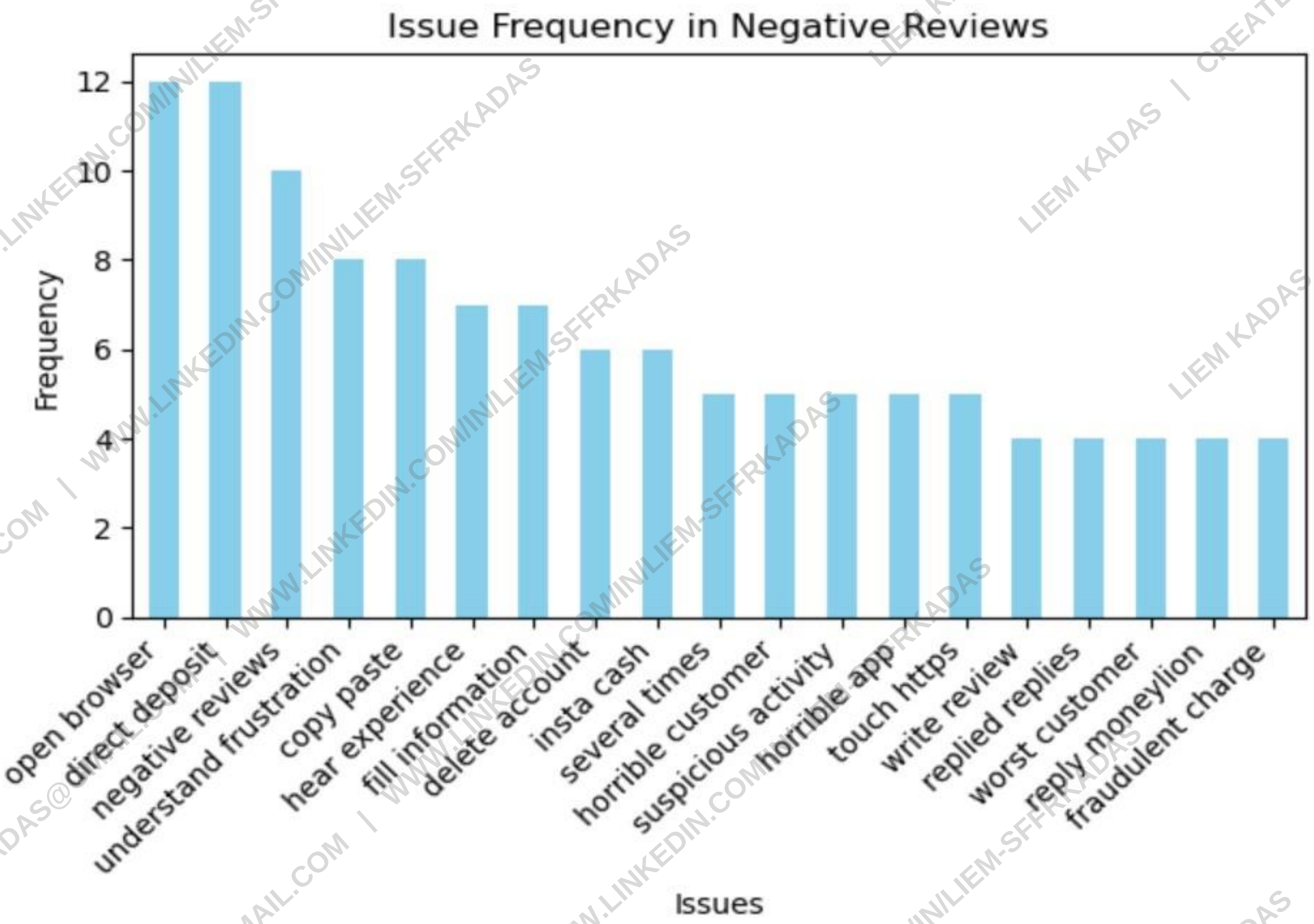
I combined customer reviews from the three platforms below. Then, I extract all negative adjectives and their associated nouns. Word Clouds show which words are most pervasive.

- Google App Platform
  Most recent reviews (n = 597)
- Better Business Bureau
  All reviews between May 2023 – May 2024 (n = ~427)
- Trustpilot
  All reviews between May 2023 – May 2024 (n = ~393)

Diving deeper, I isolated the negative reviews (n=124) with comments from the 1,417 total reviews and segment each into themed issues.

This Bar Graph was generated using Python

Themed issues reached into several facets of MoneyLion, including user and application experience, security, fund discrepancies, customer service, communication, and brand reputation.



Python script + data in the appendices (pg.49)

Recommendation #1

Enhance Customer Experience with Journey Mapping: create a Customer Journey based on the most frequent issues. Illustrate the entire customer journey map when a customer interacts with these critical touchpoints.

1. Define Objectives
2. Identify Customer Segments
3. Map Out the Current Customer Journey
4. Gather Customer Feedback and Data
5. Create the Customer Journey Map
6. Identify Opportunities for Improvement
7. Develop Improvement Strategies
8. Implement Changes
9. Monitor and Measure Impact
10. Iterate and Refine

Examples of using Journey Mapping based on the most frequent issues discovered during this case study.

4 **Gather Customer Feedback and Data**

Though I was able to scrape data from Google, Better Business Bureau, and Trustpilot's public platforms, this step could have been replicated using in-house data, such as Zendesk, other customer operation vendors, or data from MoneyLion's servers.

7 **Develop Improvement Strategies**

It is imperative that cross-team collaboration occurs between the Operations team and other departments to address frequent issues, such as app design, fund management, account accessibility, etc. This will ensure clear Service Level Agreement and increase customer satisfaction.

9 **Monitor and Measure Impact**

Once teams implement positive changes, it will be important see if MoneyLion's implementation decrease the number of frequent complaints. This is can be done with data analysis using the same methodology but at a future timeframe, i.e. monthly, quarterly, or annually. Compare and contrast datasets to monitor improvements.

02 CX Benchmark

Recommendation Based on Industry Standards for banking and fintechs

Recommendation #2

MoneyLion should maintain + prioritize values of Security, Trust, Transparency, and Technology Adoption.

Security

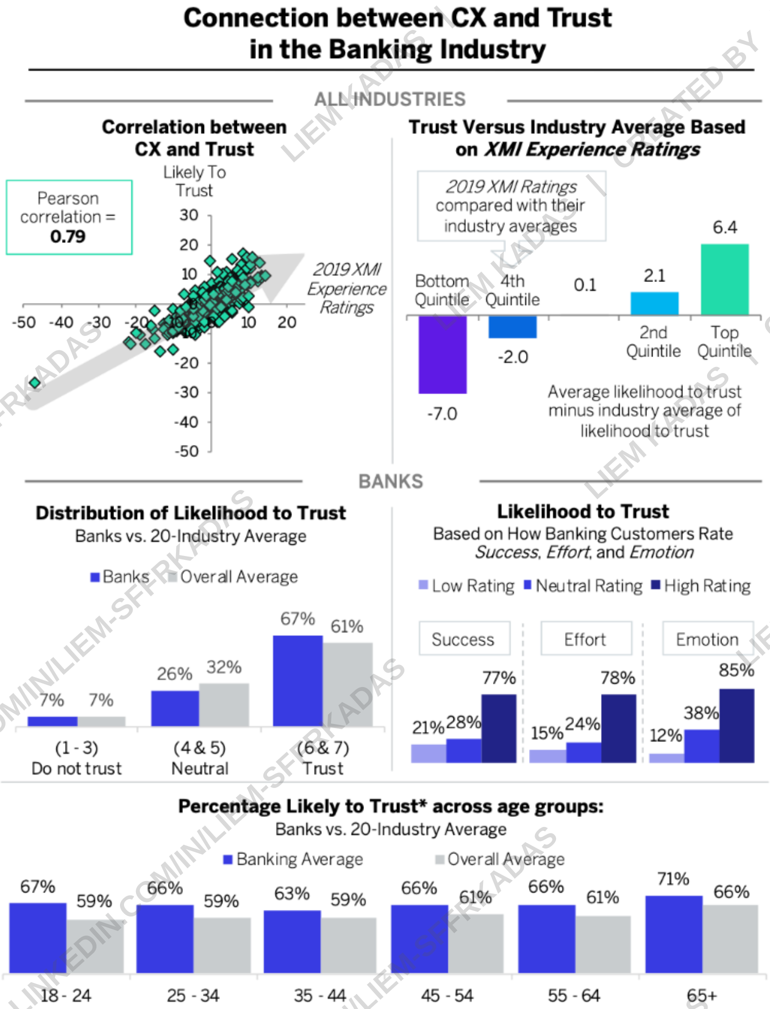
- Fraud Protection: Fintechs like Biocatch leverage advanced technologies such as machine learning and behavioral biometrics to offer robust fraud protection and digital security solutions. Ensuring high security mitigates risks of fraudulent activities, thus protecting both the company and its customers.

Trust

- Customer Loyalty: Trust is directly linked to customer loyalty. If customers trust a fintech company to safeguard their data and provide reliable services, they are more likely to continue using and recommending the service.

Transparency

- User Confidence: Transparency in operations and data handling practices fosters user confidence. Customers prefer companies that are clear about how their data is used and protected.



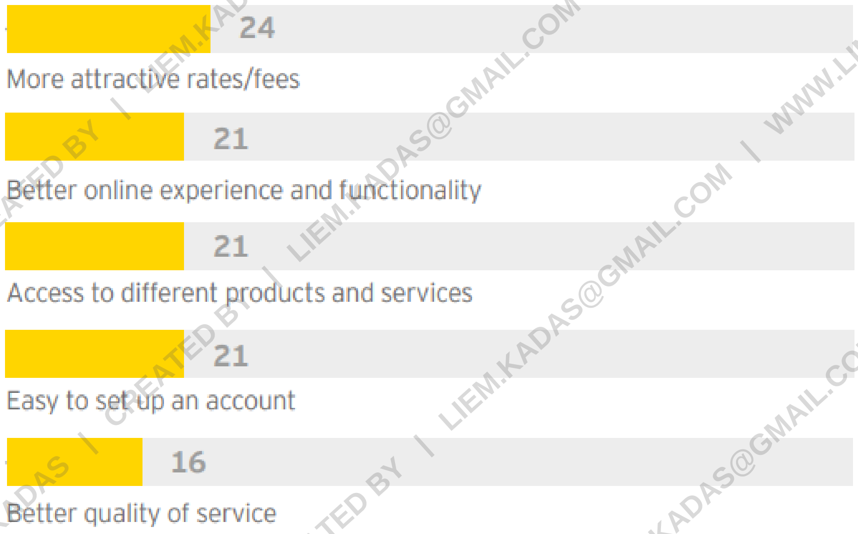
*Zdatny, Isabelle, Bruce Temkin, and Moira Dorsey. "Customer Experience in the Banking Industry." XM Institute, 15 Jan. 2020, www.xminstitute.com/research/2020-cx-banking-industry

*"What Determines FinTech Success?—A Taxonomy-Based Analysis of FinTech Success Factors." Journal of Business & Industrial Marketing, https://link.springer.com/article/10.1007/s12525-023-00626-7

Recommendation #2

Key Insights from EY Global Consumer Banking Survey of 55,000 Consumers: Top Priorities for FinTech Users.

Most important reasons to consider an online or a mobile nonbank provider (%)*



*Respondents could choose more than one option.

1. **Focus on Improving Digital Experience**
   Excluding "More Attractive rates/fees", the remaining four categories can be satisfied by ensuring customers can seamlessly navigate MoneyLion's platform, increasing customer satisfaction and lifetime value.

2. **Target Young Consumers**
   Nearly 40% of respondents and 52% of the most digitally savvy consumers are comfortable with online-only financial services providers. This is an upward trend for Gen Z and younger generations.

*Ernst & Young. *Innovate Like A FinTech*. Ernst & Young Global Limited, 2017.

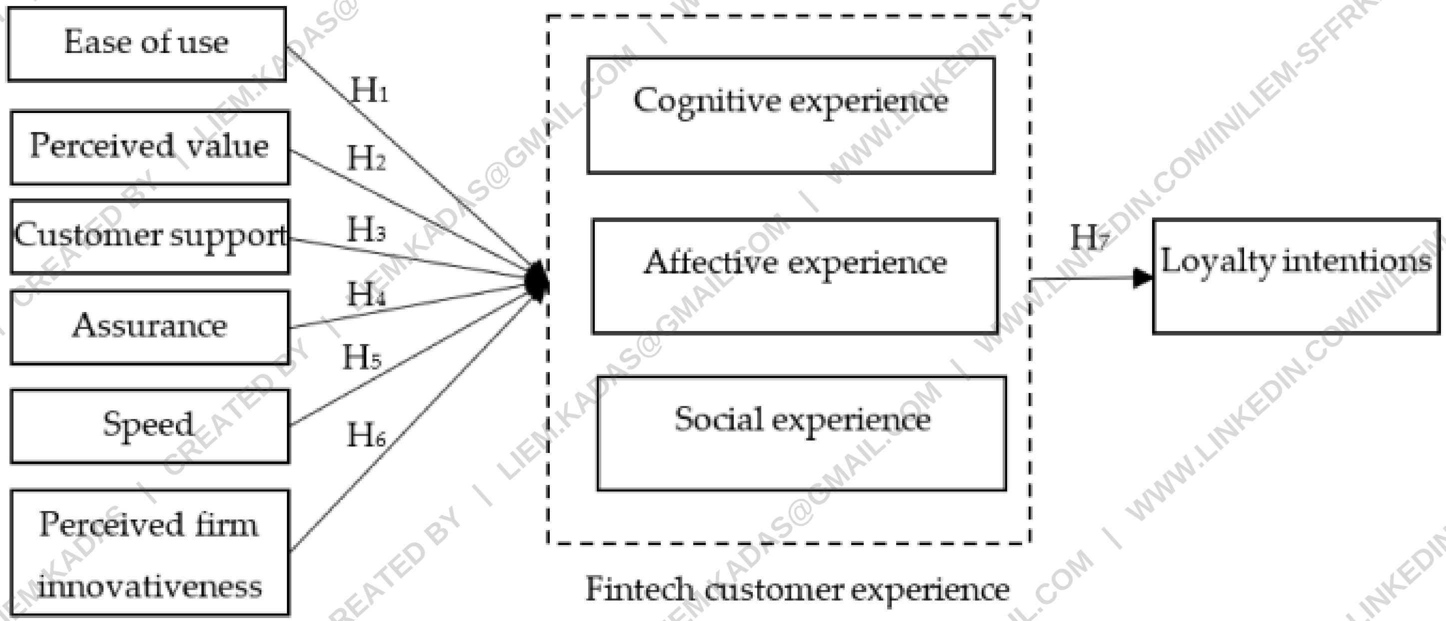
03

Financial Implications

Recommendation Based on MoneyLion's Full Year 2022 Report

Recommendation #3

A study, with a sample of 247 respondents, shows that a positive customer experience in fintech enhances customer lifetime value, upselling opportunities, and brand reputation by attracting and retaining the right customers.



Restructuring marketing and sales values at MoneyLion

Marketing and Sales team should have short and long term incentive to retain the right customers. This balance can increase Customer Life Value (CLV), maintain MoneyLion's overall positive brand, and will make the business thrive and sustainable in the long-run.

*Barbu, Cătălin Mihail, et al. "Customer Experience in Fintech." Journal of Theoretical and Applied Electronic Commerce Research, vol. 16, no. 5, 2021, pp. 1415-1433. MDPI, https://doi.org/10.3390/jtaer16050080.

Financial Analysis: ROI from Retention Efforts

Focusing on customer retention efforts can yield a substantial ROI, even with reduced subscription fees, significantly enhancing profitability and stability.

1. Investing $3 million in retention efforts can increase additional revenue by $5.304 million, achieving an ROI of 76.80%.
2. Improved retention reduces churn rate, stabilizes customer base, and fosters long-term customer loyalty, driving sustainable growth.

Current Financial Overview	
Metric	**Value**
Revenue (2022)	$340.7 million
Customers	6.5 million
Churn Rate	7%
Marketing Expenses (2022)	$37.2 million
Monthly Subscription Fee	$29 (MoneyLion Plus), $9.99 (WOW membership)
Customer Metrics	
Metric	**Value**
Monthly Subscription Fee	$8 (members don't check in on weekends)
WOW Membership Fee	$9.99
Assumed Mix of Subscribers	60% MoneyLion Plus, 20% WOW
Weighted Average Monthly ARPU	$6.80
Annual ARPU	$81.60
Retention Improvement	
Metric	**Value**
Cost of Retention Efforts	$3 million annually
Reduction in Churn Rate	1% (from 7% to 6%)
Additional Retained Customers	65,000
Revenue from Retained Customers	
Metric	**Value**
Additional Revenue from Retained Customers	$5.304 million
ROI Calculation	
Metric	**Value**
Net Gain from Investment	$2.304 million
ROI	76.80%

**MoneyLion Reports Record Fourth Quarter and Full Year 2022 Results, Reached Significant Profitability Milestone Exiting 2022." Business Wire, 14 Mar. 2023, www.businesswire.com/news/home/20230313005878/en/MoneyLion-Reports-Record-Fourth-Quarter-and-Full-Year-2022-Results-Reached-Significant-Profitability-Milestone-Exiting-2022*

Thank You

If you have any questions, comments, or concerns, please reach out to me at liemn@tepper.cmu.edu

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